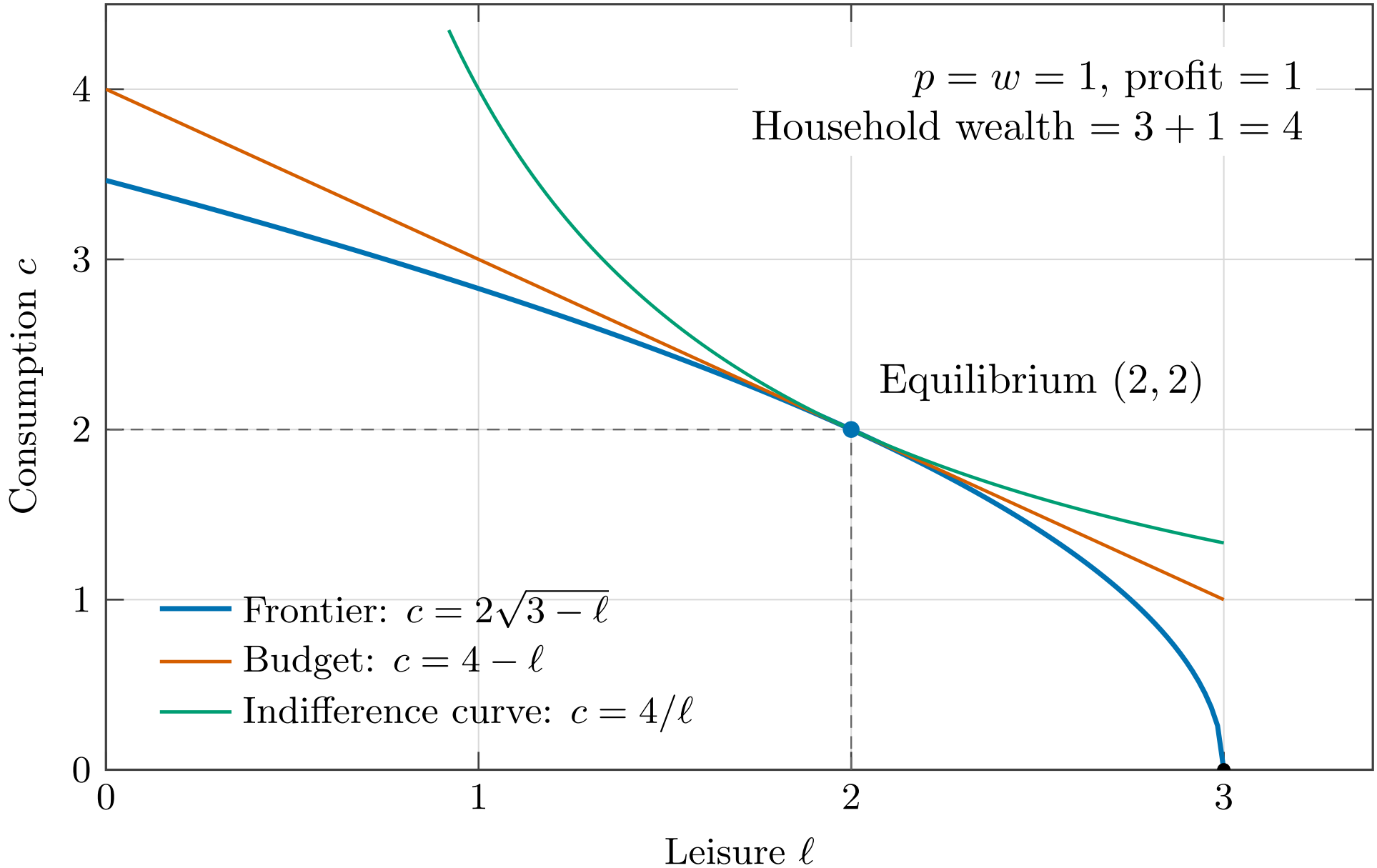
$p = w = 1$, profit $= 1$
Household wealth $= 3 + 1 = 4$
Equilibrium $(2, 2)$
Frontier: $c = 2\sqrt{3 - \ell}$
Budget: $c = 4 - \ell$
Indifference curve: $c = 4/\ell$
Consumption c
Leisure ℓ
0
1
2
3
4